

Stablecoins & the Rupee

How Digital Dollars Behave When a Currency Depreciates: A Pakistan Case Study

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August 2026

Abstract

Currency depreciation in emerging markets has coincided with a marked rise in stablecoin adoption, as households and businesses seek accessible, low-friction stores of dollar value outside the formal banking system. This paper examines that relationship with a specific focus on Pakistan, where the rupee has weakened by approximately 10 percent against the US dollar over the past year and where over 100 million adults remain unbanked. Drawing on comparative evidence from Venezuela and India, the paper documents a consistent mechanism: stablecoin “premiums” — the extra local currency paid above the official dollar rate to acquire a token such as USDT — widen both during acute currency crises and during regulatory supply shocks, functioning as a real-time gauge of capital flight and liquidity access rather than a pure sentiment indicator. The paper further finds that stablecoins are not risk-free hedges: reserve composition, issuer credibility, and the practical inability of retail holders to redeem tokens directly with issuers introduce a distinct risk profile that substitutes for, rather than eliminates, currency risk. Applying this framework to Pakistan, the paper reviews the country's emerging regulatory posture — including the Pakistan Virtual Assets Regulatory Authority's stablecoin plans, the State Bank of Pakistan's CBDC prototype, and the integration of the USD1 stablecoin for cross-border settlement — and argues that the dominant use case is not speculative trading but informal financial inclusion and remittance-cost reduction. The paper concludes with policy implications for regulators seeking to capture the inclusion and remittance benefits of stablecoins without triggering the liquidity squeezes observed elsewhere in South Asia.

1. Introduction

Pakistan's rupee has depreciated by roughly 10 percent against the US dollar over the past year, trading at approximately PKR 279 per dollar in the open market as of August 2026. This depreciation has occurred against a backdrop of chronic inflation, a large informal economy, and a banking system that leaves more than 100 million adults — out of a population of roughly 240 million — without formal accounts. In this environment, Pakistan has simultaneously emerged as the third-ranked country globally in Chainalysis's Global Crypto Adoption Index, trailing only the United States and India.

This paper asks a narrow but consequential question: how do stablecoins — cryptocurrencies designed to hold a steady value against a reference currency, typically the US dollar — actually behave when the local currency they are implicitly hedging against comes under pressure? The answer matters for three audiences: individual users deciding whether to hold savings in stablecoins, businesses managing cross-border payment exposure, and regulators deciding how to treat a technology that is already being used at scale, formally or informally, within their borders.

2. Background: What Is a Stablecoin?

A stablecoin is a cryptocurrency engineered to maintain a steady value, typically pegged 1:1 to a fiat currency such as the US dollar. Three structural models dominate the market:

- Fiat-backed stablecoins hold reserves of real dollars, cash equivalents, and short-dated government securities roughly matching the number of tokens in circulation. Tether (USDT) and USD Coin (USDC) are the largest examples; Tether's reserves were reported to be approximately 69 percent US Treasury bills as of Q1 2025 data, with the remainder in repurchase agreements and other assets.
- Crypto-backed stablecoins are collateralized by other cryptocurrencies, generally over-collateralized to absorb price volatility in the underlying collateral. DAI is the principal example.
- Algorithmic stablecoins hold no hard reserves, relying instead on code and market incentives to maintain the peg. This is the riskiest model and was responsible for the 2022 collapse of TerraUSD.

In weak-currency or capital-restricted economies, stablecoins serve functions beyond crypto trading: as a store of value resistant to local depreciation, as a lower-cost channel for cross-border remittances, and as a practical substitute for a dollar-denominated bank account where none is legally or logistically available.

3. Methodology

This paper draws on publicly available market data, industry and financial press reporting, and regulatory statements published through August 2026. Comparative case evidence is drawn from Venezuela and India, selected because both provide observable, quantified stablecoin premium data during distinct types of stress — a currency collapse in the Venezuelan case and a regulatory supply shock in the Indian case — allowing the underlying mechanism to be separated from any single triggering event. Pakistan-specific findings draw on open-market exchange rate data, State Bank of Pakistan and Pakistan Virtual Assets Regulatory Authority (PVARA) statements, and reporting on the integration of the USD1 stablecoin into Pakistan's payments landscape. Given the absence of a centralized, published Pakistan-specific USDT premium series comparable to those available for Venezuela and India, Pakistan-specific premium figures should be treated as directional rather than precisely quantified.

4. Findings

4.1 The Global Pattern: Premiums as a Stress Indicator

Across the cases examined, the stablecoin “premium” — the amount by which the local-currency price of USDT exceeds the official exchange rate — widens under two distinct but related conditions: acute currency depreciation and constrained stablecoin supply.

In Venezuela, the USDT premium on peer-to-peer markets rose by approximately 16 percent over a 30-day period in mid-2026, from roughly 690 to over 800 bolivars per USDT, as the central bank's expansion of bolivar liquidity outpaced the availability of dollars through official channels. Demand was not purely

speculative: import-export and retail businesses used USDT to preserve working capital, while individuals used it as an accessible, phone-held store of value.

In India, a comparable premium spike occurred for a different reason. USDT traded at a 7–10 percent premium on major Indian exchanges in mid-2026 — well above the typical 3–4 percent baseline — following an enforcement action by India's financial-crime agency that tightened stablecoin liquidity across peer-to-peer markets, OTC desks, and exchange order books. Exchange executives attributed the premium to a straightforward supply-demand imbalance rather than currency weakness, since the rupee itself was not undergoing comparable stress at the time.

Table 1 summarizes the comparative premium data.

Market Condition	USDT Premium	Primary Driver
Normal baseline (no stress)	3–4%	—
India (June 2026)	7–10%	Regulatory enforcement action; supply-side liquidity shock
Venezuela (June 2026)	~16%	Currency liquidity surge; dollar access restrictions

Table 1. Comparative USDT premium data. Sources: Criptonoticias via Bitcoin World (June 2026); CoinDesk and AMBCrypto (June 2026).

The comparison suggests the premium functions less as a pure measure of currency sentiment and more as a composite indicator of liquidity access — it widens whenever the effective supply of dollar-equivalent tokens fails to keep pace with demand, whether that demand is driven by currency flight or by regulatory friction restricting supply.

4.2 Stablecoins Are Not Risk-Free

Despite their design intent, stablecoins are not immune to loss of value. USDT itself dipped as low as \$0.985 on major exchanges during a 2023 confidence shock tied to reserve and compliance concerns. Academic modeling of depeg risk estimates an annualized probability of approximately 31 percent for a 2 percent or greater devaluation event, notably higher than the 14–18 percent probability implied by prediction-market pricing for a comparable threshold — suggesting that market-based instruments may understate tail risk in stablecoin holdings.

A structural feature compounds this risk for retail holders: unlike a bank depositor, an individual stablecoin holder generally cannot redeem tokens directly with the issuer. They can only sell on the open market at the prevailing price, which is precisely the mechanism through which a depeg can occur and persist for smaller holders even as large, sophisticated players arbitrage the peg back toward parity. During periods of acute stress, different stablecoins — all formally functioning as dollar equivalents — have been observed trading simultaneously at prices as divergent as \$0.87 and \$1.06.

The practical implication is that a stablecoin does not eliminate currency risk so much as substitute a different, generally smaller set of risks: issuer solvency, reserve composition and transparency, and market liquidity at the moment of exit.

4.3 Pakistan's Emerging Stablecoin Landscape

Pakistan's policy posture toward stablecoins has shifted from exploratory discussion to active integration over the twelve months preceding this paper. Four developments are notable.

- Regulatory commitment: PVARA's chairman has confirmed that Pakistan will “definitely launch” a rupee-linked stablecoin, alongside a central bank digital currency (CBDC), partly framed as a mechanism to collateralize government debt.
- USD1 integration: A fully dollar-reserve-backed stablecoin, USD1, has been positioned as a settlement tool for international payments, reducing reliance on correspondent banking relationships, while the digital rupee is intended to remain the backbone of domestic transactions.
- CBDC development: The State Bank of Pakistan is developing a CBDC prototype with technical assistance from the International Monetary Fund and World Bank.
- Preserved currency sovereignty: Officials have been explicit that stablecoins are not intended to replace the rupee or serve as legal tender for domestic pricing — the emerging model is hybrid rather than a step toward dollarization.

This trajectory places Pakistan alongside India's Asset Reserve Certificate initiative and Nigeria's eNaira as examples of emerging-market regulators attempting to capture the efficiency benefits of stablecoins while retaining monetary policy control.

4.4 The Remittance Case

The strongest economic argument for stablecoin adoption in Pakistan is not speculative trading but remittance cost reduction. Traditional remittance channels to Pakistan carry fees typically in the range of 6–7 percent, well above the United Nations Sustainable Development Goal target of 3 percent. Industry estimates suggest stablecoin-based settlement could reduce this to under 1 percent by removing correspondent-banking layers, potentially retaining an additional \$1.5–2 billion in value for remittance recipients annually. Given that Pakistan is among the world's larger remittance-receiving markets, this represents a materially larger and more broadly distributed economic effect than speculative crypto trading.

5. Discussion

Three implications follow from these findings. First, stablecoin demand in Pakistan, as in Venezuela and India, is best understood as a response to the joint absence of currency stability and formal dollar access — not as evidence of speculative enthusiasm for cryptocurrency as an asset class. Second, the USDT premium, where observable, functions as a useful real-time proxy for liquidity stress that regulators and analysts can monitor independently of official exchange-rate data; Pakistan currently lacks the kind of centralized, published premium series available for India and Venezuela, which represents a data gap worth addressing. Third, the depeg risk documented in Section 4.2 implies that any Pakistani policy encouraging stablecoin adoption for financial inclusion should be paired with consumer-facing disclosure about reserve composition and redemption mechanics, since the population most likely to adopt

stablecoins for inclusion reasons — the unbanked and underbanked — is also the population least likely to have the sophistication to arbitrage a depeg event.

6. Policy Recommendations

- Publish a domestic USDT/PKR premium series, drawing on peer-to-peer and exchange data, to give regulators and the public a real-time liquidity-stress indicator analogous to those available in India and Venezuela.
- Require reserve-composition and redemption-mechanism disclosure for any stablecoin integrated into regulated payment rails, given that retail users cannot redeem directly with issuers.
- Calibrate compliance requirements to avoid India-style supply shocks, where enforcement action widened the USDT premium and pushed activity toward less transparent channels rather than reducing overall demand.
- Prioritize the remittance corridor as the primary near-term use case, given its larger and more evenly distributed economic benefit relative to speculative trading.
- Maintain the hybrid model — rupee for domestic pricing, stablecoins for cross-border settlement — to capture efficiency gains without ceding monetary policy control.

7. Conclusion

Stablecoins behave, in practice, as a liquidity-sensitive hedge rather than a risk-free one. Their premiums widen under both currency stress and regulatory friction, and their peg, while generally reliable, is not guaranteed — a distinction that matters most for the unbanked populations most likely to rely on them as an informal substitute for banking infrastructure. For Pakistan, where currency depreciation and high remittance costs coincide with one of the world's highest rates of crypto adoption, the policy challenge is not whether to engage with stablecoins — that engagement is already occurring at scale — but how to regulate them in a way that preserves their inclusion and remittance benefits without reproducing the liquidity squeezes and consumer-protection gaps observed elsewhere in the region.

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